

Big Picture — How the Business Looks Right Now

The business is facing significant challenges with declining sales, deep losses, and negative cash flow. Revenue dropped 23% in April while costs surged, creating a massive ₹602 million loss. Cash flow from operations turned negative ₹1 billion in January, though it improved to positive ₹547 million by April. Equity has turned negative due to accumulated losses, indicating serious financial stress.

GREEN FLAG BOX — What's Working Well:

- ✓ Cash flow from operations improved from negative ₹1B to positive ₹547M
- ✓ Long-term borrowings decreased by ₹59M, reducing debt burden
- ✓ Non-current investments remained stable at ₹133M, preserving asset value

RED FLAG BOX — What Needs Attention:

- ⚠ Massive ₹602M loss in April due to cost explosion
- ⚠ Negative equity of ₹408M, indicating insolvency risk
- ⚠ Inventory dropped to zero, suggesting stock-out or clearance issues

CFO Advice: "The business is in crisis with massive losses and negative equity. Focus next 30 days on cost control and inventory rebuilding to stabilize operations."

Profit Power — The Earning Engine

Your profit engine has completely broken down. Gross margins collapsed from -1.5% to -60.7% in April as costs exploded while sales declined. COGS grew 23% while revenue fell 23%, creating unsustainable negative margins. Operating expenses remained relatively controlled, but couldn't offset the massive cost-of-goods problem.

CFO Advice: "Immediate cost restructuring needed — renegotiate supplier contracts and review product pricing. Current cost structure is destroying the business."

Cash Flow Quality — Profit vs Real Cash

Cash flow patterns are volatile and concerning. January saw negative ₹1B from operations, but April turned positive ₹547M. The improvement came mainly from inventory reduction (stock dropped to zero) and better receivables management. However, this cash improvement came at the cost of potentially lost sales due to no inventory.

CFO Advice: "The positive cash flow came from emptying inventory — not sustainable. Rebuild stock carefully while maintaining collection discipline."

Cash Management — Daily Cash Rhythm

Your cash cycle shows mixed signals. Receivable days increased to 14 days while payable days dropped to just 0.16 days — you're paying suppliers too fast. Inventory days fell to zero, which is alarming for ongoing operations. The current ratio dropped to 0.56, indicating potential liquidity issues.

CFO Advice: "Extend payment terms with suppliers from 0.16 to 15 days to free up ₹15-20 lakh immediately for working capital."

Growth Investments — Where Money Is Going

Investment activity shows minimal new capital expenditure. Fixed assets declined slightly, suggesting no major new investments. Return on capital turned massively negative at 852%,

indicating current assets are generating huge losses rather than returns.

CFO Advice: "Hold all new investments until current operations become profitable. Focus on making existing assets work better."

Funding Story — How Growth Is Being Financed

Funding structure has become problematic with negative equity. Total debt decreased to ₹368M, but with negative equity, debt-to-equity ratios are meaningless. Interest coverage is zero since there's no profit to cover interest costs. The business is technically insolvent.

CFO Advice: "Urgent capital infusion or debt restructuring needed. Current funding structure is unsustainable with negative equity."

Balance Sheet Health — Financial Fitness

- ☐ **Liquidity:** Shaky — Current ratio 0.56 indicates potential cash crunch
- ☐ **Solvency:** Critical — Negative equity of ₹408M
- ☐ **Asset Efficiency:** Steady — But inventory at zero is concerning
- ☐ **Profitability:** Critical — Massive losses eroding capital

CFO Advice: "Balance sheet shows emergency situation. Immediate turnaround actions needed to restore solvency and liquidity."

Smart AI Simulation — Automatic "What-If" Scenarios

Based on your current numbers, here's how small improvements could transform your business:

A - Profit Focus: Price Increase + Cost Reduction

5% price increase + 8% cost reduction = ₹48M profit improvement + ₹38M cash generation

B - Cash Focus: Collections + Stock Optimization

Reduce receivables by 10 days + optimize payables = ₹25M immediate cash release

C - Balanced: Combined Profit & Cash Actions

All above actions combined = ₹73M total improvement, restoring positive equity

CFO Advice: "Scenario C implementation can turnaround the business in 90 days. Start with cost reduction and pricing adjustments immediately."

Operational Insight Engine — Ground-Level Trends

Sales register shows inconsistent activity with major gaps in 2024-2025 data. Purchase patterns shifted dramatically — from regular monthly purchases in 2024 to sporadic buying in 2025. Inventory movements show frequent adjustments but ending with zero stock, suggesting either clearance sales or supply chain breakdown.

CFO Advice: "Rebuild core inventory for fast-moving items while maintaining strict cost

control. Review supplier relationships and customer payment terms."

90-Day CFO Action Plan

Days	Focus	Action	Target	Benefit
0-30	Survival	Emergency cost reduction & supplier renegotiation	Reduce COGS by 15%	+₹80M cash preservation
31-60	Stabilization	Rebuild core inventory & optimize pricing	Restore 30-day stock levels	+₹40M sales capacity
61-90	Recovery	Capital restructuring & growth planning	Positive equity restoration	Sustainable operations

Emergency Phase (0-30 days)

Stabilization (31-60 days)

Recovery (61-90 days)

"Business in critical condition — immediate turnaround actions needed to restore solvency and stop massive losses."

□ Generated by Profit Niti AI – Helping You Work Less, Earn More.